

especially a personal and sometimes unreasonable judgment, is harder to correct. When clients adapt to a bias, they accept it and make decisions that recognize and adjust for it rather than making an attempt to reduce it. To moderate the impact of a bias is to recognize it and to attempt to reduce or even eliminate it within the individual rather than to accept the bias. In the case of emotional biases, it may be possible to only recognize the bias and adapt to it rather than correct for it.

Emotional biases stem from impulse, intuition, and feelings and may result in personal and unreasoned decisions. When possible, focusing on cognitive aspects of the biases may be more effective than trying to alter an emotional response. Also, educating the client about the investment decision-making process and portfolio theory can be helpful in moving the decision making from an emotional basis to a cognitive basis. When biases are emotional in nature, drawing them to the attention of the individual making the decision is unlikely to lead to positive outcomes. The individual is likely to become defensive rather than receptive to considering alternatives. Thinking of the appropriate questions to ask and to focus on as well as potentially altering the decision-making process are likely to be the most effective options.

Emotional biases can cause investors to make suboptimal decisions. The emotional biases are rarely identified and recorded in the decision-making process because they have to do with how people feel rather than what and how they think. The six emotional biases discussed are loss aversion, overconfidence, self-control, status quo, endowment, and regret aversion. In the discussion of each of these biases, some related biases may be discussed.

A FINAL WORD ON BIASES

The cognitive-emotional distinction will help us determine when and how to adjust for behavioral biases in financial decision making. However, it should be noted that specific biases may have some common aspects and that a specific bias may seem to have both cognitive and emotional aspects. Researchers in financial decision making have identified numerous and specific behavioral biases. This book will not attempt to discuss all identified biases but rather will discuss what I consider to be the most important biases within the cognitive-emotional framework for considering potential biases. This framework will be useful in developing an awareness of biases, their implications, and ways of moderating their impact or adapting to them. The intent is to help investors and their advisors to have a heightened awareness of biases so that financial decisions and resulting economic outcomes are potentially improved.